

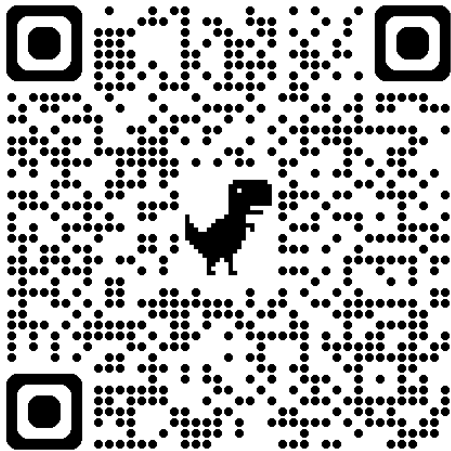
Economic Diplomacy: The Issues Small States Have with Geoeconomics

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Three Driving Propositions

1. Small states ...
from rules-based
multilateralism to
geoeconomics and
strategic
interdependence.
2. Economic
diplomacy,
economic statecraft
for small states, can
help.
3. For economic security,
optimize against shocks
intentioned and adversarial.
Look to a G-minus,
multilateral-enough,
incentive compatible order
with flexible topology.

1. Small states ...

... face a world order shifting from rules-based multilateralism to geoeconomics and strategic interdependence.

1. Small states are everyone who can't unilaterally reconfigure the world. So, that's ASEAN, the UK, India, and all nations smaller. Small states contain 80% of humanity.
2. US-China rivalry is consequential. But whether it is the central formative driver for world order is up to us the 80%, not them.
3. The transitioning world order sees rising occurrence of mercantilism, cross-border cooperation failure, and power-driven disagreement between nation states.
4. The challenge of navigating world order for small states is the challenge of dealing with these problems.
5. Small states need to go beyond price- and norm-taking. The question is go beyond to what, exactly.

2. Economic diplomacy ...

..., economic statecraft for small states, can help inform small-state strategies as world order continues to shift.

1. Economic diplomacy is the collection of strategies small states can use to contend with the externalities and targeted actions of major powers' economic statecraft.
2. Geoeconomics or economic statecraft or geoeconomics is when major powers use economic instruments to advance their geopolitical objectives.
3. Economic diplomacy is about designing a world order that works for us, regardless how Great Powers behave.
3. Resilience needed against shocks that can be natural events or negative externalities, or targeted actions. Outside rules-based multilateral order, more and more, shocks will come bearing full intentionality.
4. Neither academics nor practitioners alone can solve this.
5. But for a start: (1) Align. (2) Acquiesce. (3) Adapt and mitigate.

3. For economic security, optimize ...

... against shocks intentioned and adversarial. Look to G-minus, multilateral-enough, incentive-compatible orders with flexible topology.

1. ASEAN and open regionalism. RCEP. CPTPP
2. MPIA: plurilateralism and flexible multilateralism
3. The China Shock: Smart globalisation and rules-compatible mercantilism.
5. The US Shock: Infant-industry nationalism with protectionism the bulwark of industrial strength. Where trade has always been geopolitical statecraft, and is not now temporarily interrupted for a higher purpose but because trade itself is the problem.
6. Multilateral-enough, incentive-compatible orders with inadvertent cooperation and flexible topology.

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